



April 30, 2024

QUARTERLY EARNINGS

Q1 | 2024

Stuart Bradie, President and CEO
Mark Sopp, Executive VP and CFO
Jamie DuBray, VP of Investor Relations



FORWARD-LOOKING STATEMENT

The statements in this presentation that are not historical statements, including statements regarding our expectations for our future financial performance, effective tax rate, operating cash flows, contract revenues, award activity and backlog, program activity, our business strategy, interest expense, and our plans for raising and deploying capital, and paying dividends, are forward-looking statements within the meaning of the federal securities laws. These statements are subject to numerous risks and uncertainties, many of which are beyond the company's control that could cause actual results to differ materially from the results expressed or implied by the statements. These risks and uncertainties include, but are not limited to: uncertainty, delays or reductions in government funding, appropriations and payments, including as a result of continuing resolution funding mechanisms, government shutdowns or changing budget priorities; developments and changes in government laws, regulations and policies that may require us to pause, delay or abandon new and existing projects; the ongoing conflict between Russia and Ukraine and in the Middle East and the related impacts on our business; potential adverse economic and market conditions, such as interest rate and currency exchange rate fluctuations, the company's ability to manage its liquidity; the outcome of and the publicity surrounding audits and investigations by domestic and foreign government agencies and legislative bodies; potential adverse proceedings by such agencies and potential adverse results and consequences from such proceedings; changes in capital spending by the company's customers; the company's ability to obtain contracts from existing and new customers and perform under those contracts; structural changes in the industries in which the company operates; escalating costs associated with and the performance of fixed-fee projects and the company's ability to control its cost under its contracts; claims negotiations and contract disputes with the company's customers; changes in the demand for or price of oil and/or natural gas; protection of intellectual property rights; compliance with environmental laws; changes in government regulations and regulatory requirements; compliance with laws related to income taxes; unsettled political conditions, war and the effects of terrorism; foreign operations and foreign exchange rates and controls; the development and installation of financial systems; the possibility of cyber and malware attacks; increased competition for employees; the ability to successfully complete and integrate acquisitions; and operations of joint ventures, including joint ventures that are not controlled by the company.

The company's most recently filed Annual Report on Form 10-K, any subsequent Form 10-Qs and 8-Ks, and other U.S. Securities and Exchange Commission filings discuss some of the important risk factors that the company has identified that may affect its business, results of operations and financial condition. Except as required by law, the company undertakes no obligation to revise or update publicly any forward-looking statements for any reason.

A portrait of Stuart Bradie, a middle-aged man with a grey beard and mustache, smiling. He is wearing a dark blue plaid blazer over a light blue and white checkered button-down shirt. A small circular pin is visible on his left lapel. The background is a blurred office interior. The image is partially overlaid by a blue and green geometric graphic on the left side.

Stuart Bradie

President and Chief Executive Officer

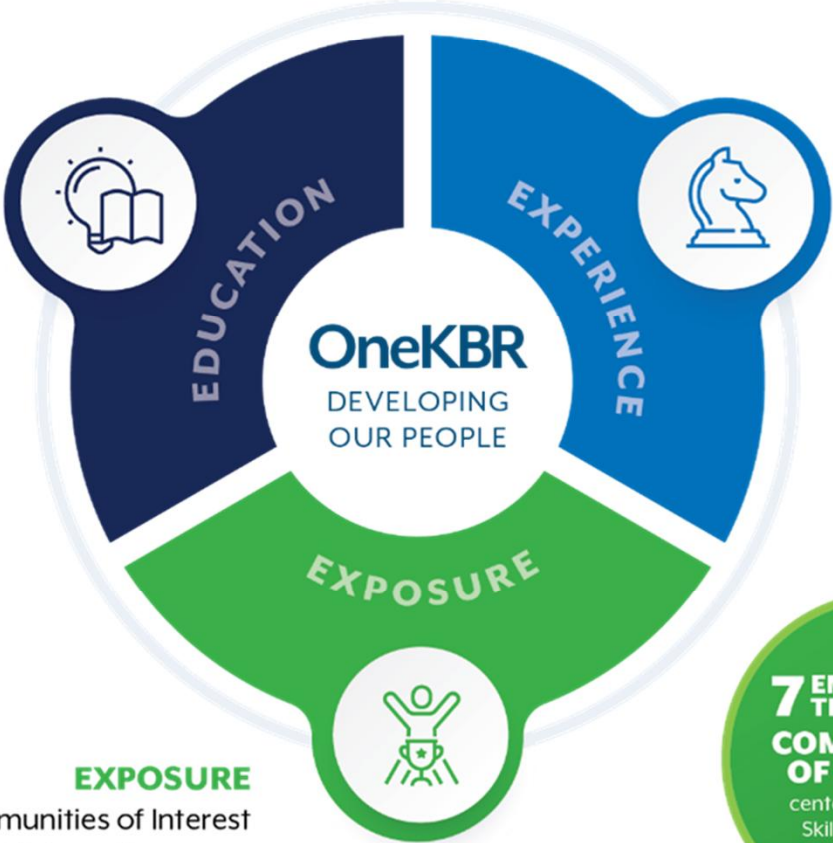


DEVELOPING OUR PEOPLE GLOBALLY



**1,500+
COURSE
COMPLETIONS**
per month, topics
ranging from Project
Management to AI
simulations

EDUCATION
Career Fairs
Mentoring
Mobile/Virtual/Agile
Learning Methods



**ANNUALLY,
15+%**
of our workforce transfer
internally into new roles/
projects/business
units or segments

EXPERIENCE
Internal Career Mobility
Career Progression Opportunities

**7 EMPLOYEE-LED
TECHNICAL
COMMUNITIES
OF INTEREST**
centered around the
Skills of the Future
and sustainability

EXPOSURE
Communities of Interest
Technical Fellows Programs



1Q'24 | KBR PERFORMANCE



FINANCIAL PERFORMANCE

- \$1.8B Revenue, up 7% yoy - all time high since our transformation in 2020, excluding peaks from OAW
- \$207M Adj. EBITDA², up 14% yoy; 11.4% Adj. EBITDA margin² (up 70 bps)
- \$91M Adj. OCF², up 160% yoy
- Refinanced our capital structure for better terms and extended duration

Operation Allies Welcome (OAW)



BUSINESS GROWTH

- 1.1x TTM Book-To-Bill¹ reflects continued award momentum
- \$1.9B of bookings and options in 2024 in highly strategic areas
- Ending backlog and options of \$20.8B
- ~84% work under contract (WUC) for 2024



¹ Trailing-twelve-months book-to-bill (TTM BTB). Consistent with our practice, BTB excludes long-term UK PFIs. ² See Appendix for reconciliation of non-GAAP financial measures Adj. EBITDA and Adj. OCF to the nearest GAAP measures. Adj. EBITDA margin calculated as Adj. EBITDA / Revenues.

1Q'24 | KEY AWARDS



SUSTAINABLE TECHNOLOGY SOLUTIONS

0.9x
TTM BTB¹

\$4.4B
1Q'24
Backlog

- KBR's Purifier™ ammonia technology selected by Wuhuan Engineering Co. Ltd. for the expansion of 1,200 metric tonnes per day plant in Egypt
- Selected by First State Hydrogen to provide engineering services to study the feasibility of developing a clean hydrogen production facility through electrolysis powered by renewable energy in mid-Atlantic region
- Signed an alliance agreement with GeoLith SAS to offer its advanced Direct Lithium Extraction technology, Li-Capt®. This technology enables zero-emission lithium extraction from untapped sources like geothermal and oil well brines



GOVERNMENT SOLUTIONS

1.2x
TTM BTB¹

\$16.5B
1Q'24
Backlog & Options

- Awarded a new subcontract in support of the U.S. Air Force Air Combat Command to provide human performance optimization services at various military bases around the world
- Won a new one-year task order with three one-year options on Seaport NxG IDIQ contract supporting the Defense Health Agency's cybersecurity services and risk management framework initiatives
- Awarded a three-year contract, with a two year-option period, to deliver Heavy Equipment Transporter capability on behalf of the British Army
- Successfully completed first moves under Global Household Goods contract

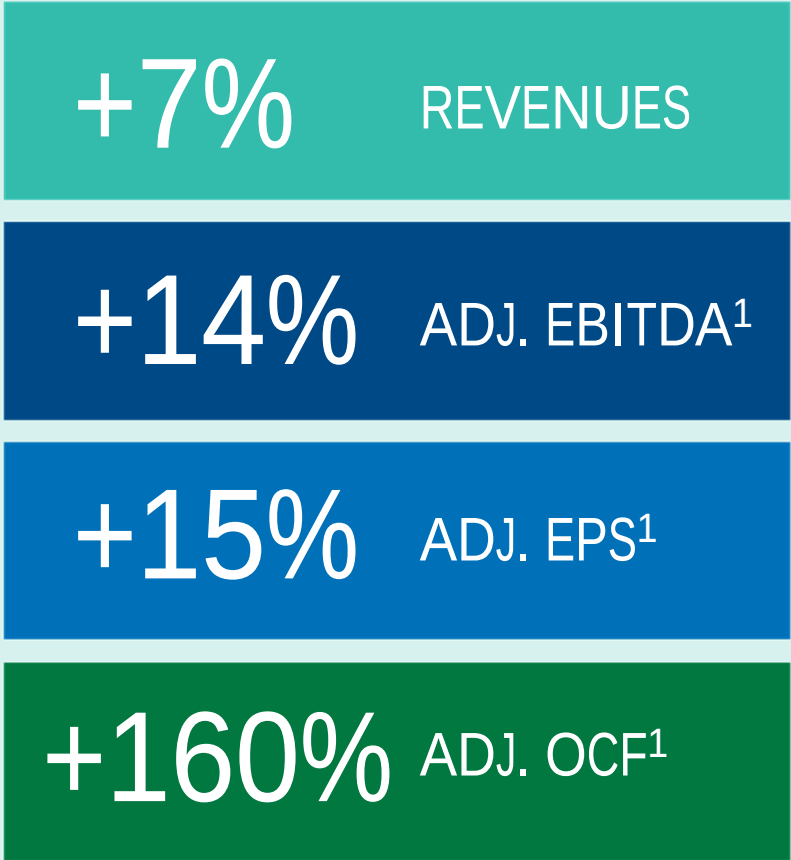
¹ Trailing-twelve-months book-to-bill (TTM BTB). Consistent with our practice, BTB excludes long-term UK PFIs.

A portrait of Mark Sopp, a middle-aged man with short, light-colored hair, wearing a white button-down shirt. He is standing with his arms crossed, smiling slightly at the camera. The background is a modern office interior with white walls and a staircase. The image is partially overlaid by a blue and green geometric graphic on the left side.

Mark Sopp

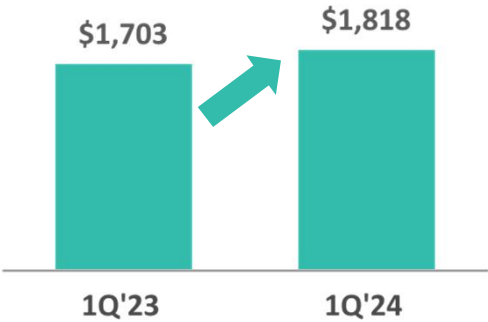
Executive Vice President and Chief Financial Officer

1Q'24 | KBR DELIVERS CONTINUED GROWTH

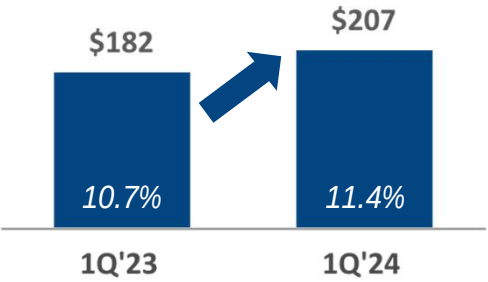


Year over year % change

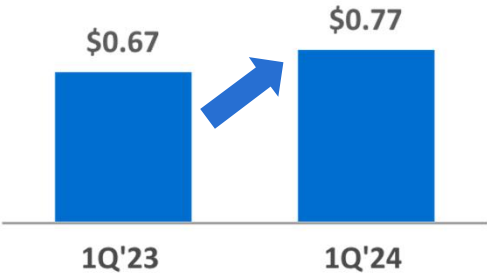
REVENUES



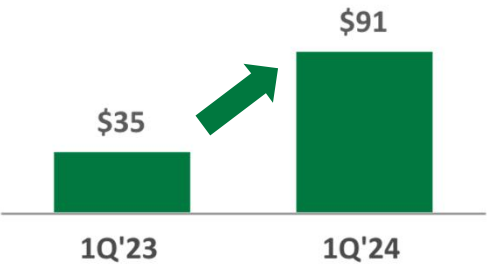
ADJ. EBITDA¹ Margin¹



ADJ. EPS¹



ADJ. OCF¹



Amounts in \$millions except share data; amounts are for the Three Months Ended March 29, 2024 and Three Months Ended March 31, 2023 unless stated otherwise.

¹ See Appendix for reconciliation of non-GAAP financial measures Adj. EBITDA, Adj. EPS, and Adj. OCF to the nearest GAAP measures. Adj. EBITDA margin calculated as Adj. EBITDA / Revenues.

1Q'24 | SEGMENT RESULTS DEMONSTRATE MISSION FOCUS

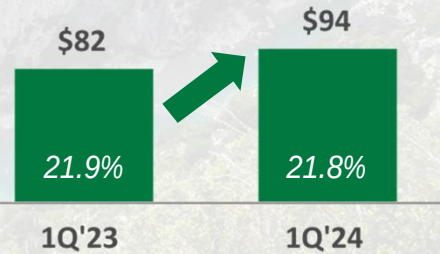


SUSTAINABLE TECHNOLOGY SOLUTIONS

REVENUES



ADJ. EBITDA¹ Margin¹



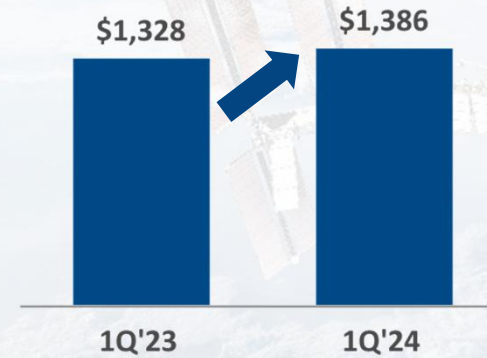
15%
ADJ. EBITDA¹
GROWTH

- o STS revenue growth of 15% over 1Q'23 driven by growing demand in sustainable services and technology
- o Strong Adj. EBITDA¹ growth and margin attributable to favorable revenue mix, achievement of certain licensing milestones, joint venture performance and increased demand



GOVERNMENT SOLUTIONS

REVENUES



ADJ. EBITDA¹ Margin¹



6%
ADJ. EBITDA¹
GROWTH

- o GS revenue growth of 4% over 1Q'23 driven by new and on-contract growth across International, D&I, and S&S, partially offset by contraction in R&S due to Ukraine funding delay
- o Strong Adj. EBITDA¹ growth due to favorable international mix, excellent award fees and strong project execution

Amounts in \$millions; amounts are for the Three Months Ended March 29, 2024 and Three Months Ended March 31, 2023 unless stated otherwise.

¹ See Appendix for reconciliation of non-GAAP financial measure Adj. EBITDA to the nearest GAAP measure. Adj. EBITDA margin calculated as Adj. EBITDA / Revenues.

STRATEGIC, ACCRETIVE AND BALANCED CAPITAL DEPLOYMENT

Q1'24

\$79M

CAPITAL RETURNED
TO SHAREHOLDERS¹

Q1'24

2.0x

NET LEVERAGE
RATIO

2024

11%

ANNUAL DIVIDEND
INCREASE

Refinanced
Capital Structure
(extended maturity &
restored revolver
capacity)

CAPITAL DEPLOYMENT PRIORITIES

Fund Organic Growth

Maintain Attractive Dividend

Maintain Responsible Leverage

Strategic M&A

Share Repurchases

*Our capital deployment strategy facilitates
sustainable, long term growth and
prudent return of capital to shareholders.*

¹ Includes quarterly dividends, discretionary repurchases and repurchases to satisfy requirements of equity compensation plans.

REAFFIRMING FY 2024 GUIDANCE

KBR, Inc. FY 2024 Guidance

REVENUE	\$7.4B - \$7.7B
ADJ. EBITDA	\$810M - \$850M
ADJ. EPS ¹	\$3.10 - \$3.30
OPERATING CASH FLOW	\$450M - \$480M

The company does not provide a reconciliation of Adj. EBITDA to the most comparable GAAP financial measure on a forward-looking basis because the company is unable to predict with reasonable certainty the ultimate outcome of legal proceedings, unusual gains and losses, and acquisition-related expenses without unreasonable effort, which could be material to the company's results computed in accordance with GAAP.

¹ See Appendix for reconciliation of non-GAAP financial measure Adj. EPS to the nearest GAAP measure.

KEY TAKEAWAYS

- Strong start to the year across all financial metrics and continued momentum in key markets
- Solid bookings and backlog in what is typically a slow quarter
- ~84% WUC plus strong first quarter – derisks and well positioned to deliver FY24 guidance
- First HomeSafe moves successfully completed
- Investor day on May 8, 2024



A photograph of two women in a modern office environment. The woman on the left, wearing a yellow shirt and glasses, is smiling and looking at a laptop. The woman on the right, wearing a maroon shirt, is also smiling and looking at the laptop, with her hands on the keyboard. The background shows a blurred office space with desks and chairs. A white banner with blue and yellow geometric shapes is overlaid on the image, containing the text 'Q & A'.

Q & A

A photograph of two men in an office setting. One man, wearing glasses and a blue shirt, is leaning over the shoulder of another man who is seated and looking at a computer monitor. The background shows other office desks and monitors, slightly out of focus. A white banner with a green underline is positioned over the lower part of the image, containing the word 'Appendix' in a dark blue serif font.

Appendix

NON-GAAP RECONCILIATION

	Adjusted EPS			
	1Q'23	1Q'24	FY2024 Guidance	
Diluted EPS	\$0.56	\$0.69	\$2.88	\$3.08
Adjustments:				
Amortization related to acquisitions	0.05	0.04	0.15	
Ichthys commercial dispute costs	0.01	0.03	0.03	
Acquisition, integration and restructuring	0.01	0.01	0.03	
Impact of convert accounting	0.05	—	—	
Legacy legal fees and settlements	0.02	—	0.01	
(Benefits) Provisions related to exit from Russian commercial projects	(0.03)	—	—	
Adjusted EPS	\$0.67	\$0.77	\$3.10	\$3.30
<i>Diluted weighted average common shares outstanding</i>	<i>154</i>	<i>135</i>	<i>135</i>	
<i>Adjusted weighted average common shares outstanding</i>	<i>140</i>	<i>135</i>	<i>135</i>	

NON-GAAP RECONCILIATION

Adjusted Operating and Free Cash Flow

	1Q'23	1Q'24
Cash flows provided by operating activities	\$35	\$91
Adjustments:		
Adjust: CARES Act temporary tax repayment	—	—
Add: Legacy legal settlement (after tax)	—	—
Adjusted cash flows provided by operating activities	\$35	\$91
Less: Capital expenditures	(19)	(25)
Adjusted free cash flows	\$16	\$66
Adjusted operating cash flow per share	\$0.25	\$0.67
Adjusted operating cash flow conversion	37%	87%
Adjusted free cash flow per share	\$0.11	\$0.49
Adjusted EPS	\$0.67	\$0.77
Adjusted free cash flow conversion	16%	64%
Diluted weighted average common shares outstanding	154	135
Adjusted weighted average common shares outstanding	140	135

NON-GAAP RECONCILIATION

	Adjusted EBITDA					
	1Q'23	2Q'23	3Q'23	4Q'23	1Q'24	TTM
Net income (loss) attributable to KBR	\$86	\$(351)	\$(21)	\$21	\$93	\$(258)
Adjustments:						
Interest expense	26	29	30	30	31	120
Accretion of Convertible Notes debt discounts	—	128	114	40	—	282
Other non-operating (income) expense	2	1	(2)	4	6	9
Provision for income taxes	30	16	23	26	35	100
Depreciation and amortization	36	34	34	37	36	141
EBITDA	\$180	\$(143)	\$178	\$158	\$201	\$394
Adjustments:						
Acquisition, integration and restructuring	1	2	3	4	1	10
Ichthys commercial dispute cost	2	—	4	(5)	4	3
Legacy legal fees and settlements	5	148	1	1	1	151
(Benefits) provisions related to exit from Russian commercial projects	(6)	(2)	—	4	—	2
Loss on derivative bifurcation	—	104	—	—	—	104
Loss on debt extinguishment	—	70	—	—	—	70
Loss on settlement of warrants	—	12	—	26	—	38
Adjusted EBITDA	\$182	\$191	\$186	\$188	\$207	\$772

NON-GAAP RECONCILIATION

Adjusted EBITDA - Segment						
	1Q'23	2Q'23	3Q'23	4Q'23	1Q'24	TTM
Pretax income attributable to GS	\$101	\$(33)	\$106	\$102	\$114	\$289
Interest expense	2	4	2	3	2	11
Other non-operating (income) expense	(1)	1	—	(2)	(1)	(2)
Depreciation and amortization	25	23	24	24	24	95
EBITDA - GS	\$127	\$(5)	\$132	\$127	\$139	\$393
Adjustments:						
Legacy legal fees and settlements	5	148	1	1	1	151
Adjusted EBITDA - GS	\$132	\$143	\$133	\$128	\$140	\$544
Pretax income (loss) attributable to STS	\$82	\$76	\$82	\$82	\$86	\$326
Interest expense	—	—	1	—	—	1
Other non-operating (income) expense	—	—	(2)	(1)	(1)	(4)
Depreciation and amortization	4	6	4	5	5	20
EBITDA - STS	\$86	\$82	\$85	\$86	\$90	\$343
Adjustments:						
Ichthys commercial dispute cost	2	—	4	(5)	4	3
(Benefits) provisions related to exit from Russian commercial projects	(6)	(2)	—	4	—	2
Adjusted EBITDA - STS	\$82	\$80	\$89	\$85	\$94	\$348
Adjusted EBITDA - Corporate	\$(32)	\$(32)	\$(36)	\$(25)	\$(27)	\$(120)
Adjusted EBITDA - KBR	\$182	\$191	\$186	\$188	\$207	\$772

NON-GAAP RECONCILIATION

Reconciliation of Operating Income to Adj. EBITDA

Three months ended March 29, 2024

	GS	STS	Corporate	KBR
Operating income	\$115	\$86	\$(35)	\$166
Noncontrolling interest	—	(1)	—	(1)
Depreciation and amortization	24	5	7	36
EBITDA	\$139	\$90	\$(28)	\$201
Adjustment:				
Acquisition, integration and restructuring	—	—	1	1
Ichthys commercial dispute cost	—	4	—	4
Legacy legal fees and settlements	1	—	—	1
Adjusted EBITDA	\$140	\$94	\$(27)	\$207

SUPPLEMENTAL RECONCILIATION

Reconciliation of Adjusted EBITDA to Adjusted EPS

Three months ended March 29, 2024

	KBR
Adjusted EBITDA	\$207
Interest expense	(31)
Other non-operating income (expense)	(6)
Provision for income taxes	(35)
Depreciation and amortization	(36)
EPS adjustments:	
Amortization related to acquisitions (after tax)	5
Tax effect of EBITDA adjustments	—
Adjusted Net Income Attributable to KBR	\$104
Adjusted weighted average common shares outstanding	135
Adjusted EPS	\$0.77